

## July 2026 against budget

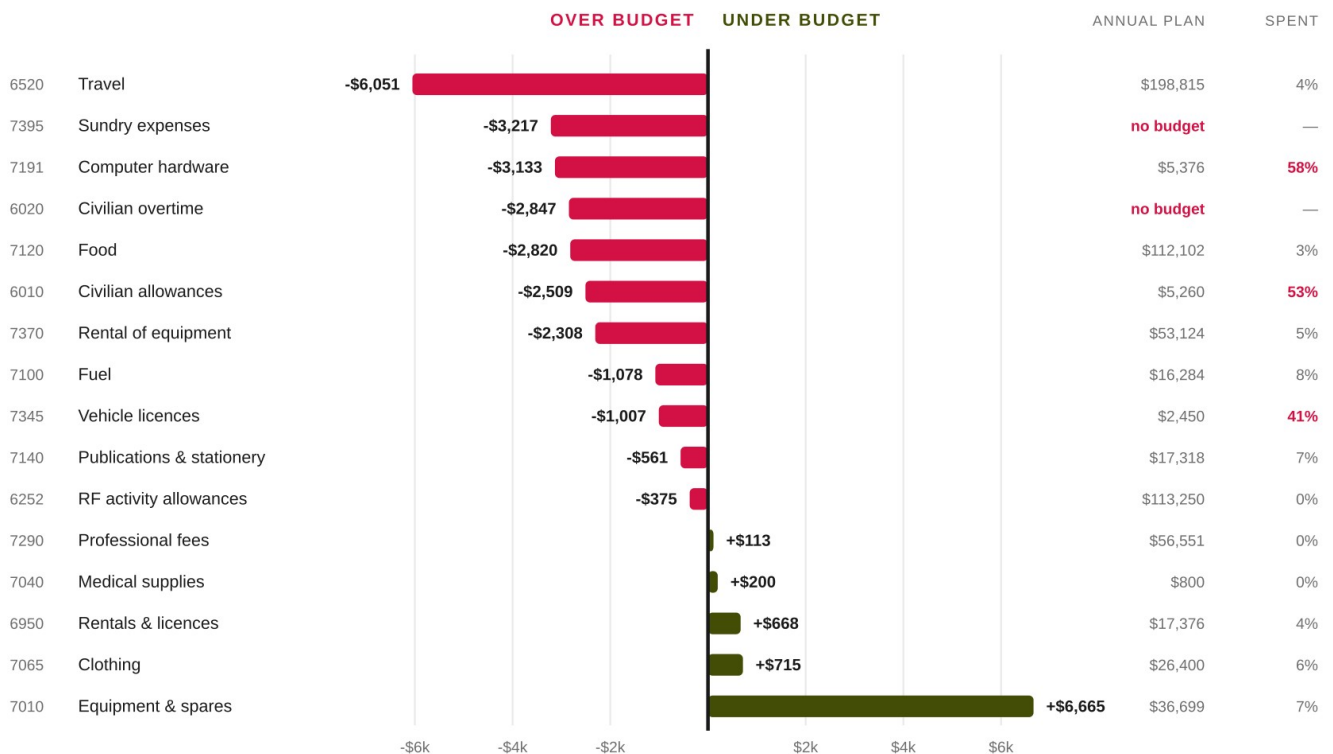
Month 1 of FY26/27. Source: SAP financial management report 43311, July 26, and the NZALC FY26/27 Budget Summary.

| SAP JULY BUDGET                               | JULY ACTUAL                                  | VARIANCE                    | OF THE ANNUAL PLAN                        |
|-----------------------------------------------|----------------------------------------------|-----------------------------|-------------------------------------------|
| <b>\$23,015</b><br>phased, no courses in July | <b>\$40,535</b><br>176% of the phased budget | <b>-\$17,520</b><br>adverse | <b>5.0%</b><br>a straight twelfth is 8.3% |

### THE FINDING

July delivered no training. The first activity of the year, Ser 01 LSYS NCO Advanced, begins in August. The phased budget recognises this: July carries 2.8 per cent of the annual plan, well under a straight twelfth. Actual spend was 5.0 per cent of the annual plan, so the centre consumed roughly two months of budget in a month with no course output.

### JULY VARIANCE BY COST ELEMENT

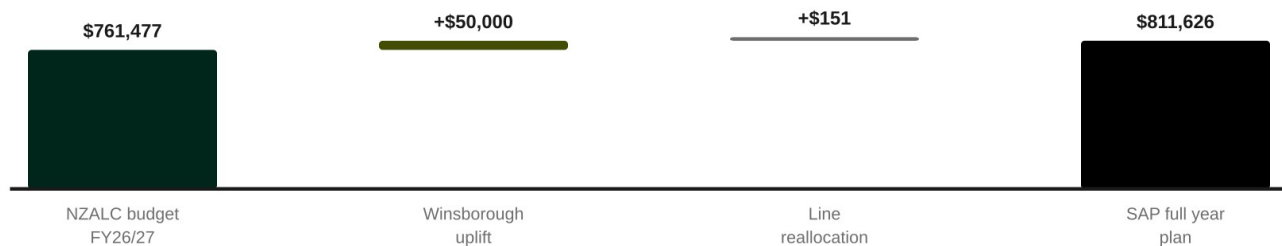


Budget less actual. Bars left of the datum are overspends. The right-hand columns show the full year plan and the share of it already spent in month one; a straight twelfth would be 8 per cent.

# The year, and what July implies

Reconciliation of the SAP full year plan to the NZALC budget, the exposures July has surfaced, and what needs a decision.

## RECONCILIATION — THE TWO PLANS AGREE



The two plans differ by \$50,151. The \$50,000 Winsborough uplift accounts for almost all of it, loaded correctly to CE 7290 Professional Fees, which carries \$56,551 in SAP against \$6,350 in the budget. The rest is line reallocation, chiefly travel down \$3,770 offset by training fees up \$3,414. Note that the budget summary is internally inconsistent by \$150: its cover states variable costs of \$502,584, its cost element table \$502,434. Against the cover figure the two plans reconcile to \$1.

## THREE EXPOSURES JULY HAS SURFACED

### Spending against cost elements with no budget

**\$6,065**

Civilian overtime \$2,847 and sundry expenses \$3,217 were incurred against lines that carry zero for the year. These are not phasing differences; there is no budget behind them at any point in FY26/27. If they continue at anything like July's rate the annual exposure is material.

### Annual lines largely consumed in month 1

**\$6,949**

Civilian allowances at 53 per cent of the annual line, computer hardware at 58 per cent and vehicle licences at 41 per cent. Some of this is legitimately front-loaded, licences and hardware are typically annual purchases, but civilian allowances at over half the year in month one is a run-rate question, not a timing one.

### The forecast is arithmetic, not judgement

**\$17,521**

The full year forecast outturn of \$829,147 is simply the July variance added to the remaining phased budget. It assumes every future month lands exactly on plan. It is not a re-forecast and should not be read as one.

## WHAT NEEDS A DECISION

### 1 Establish where overtime and sundry spend belongs

Either a budget line is created for CE 6020 and CE 7395, or the spend is reallocated to the cost elements that should carry it. Running a year against zero-budget lines will distort every month's variance from here.

### 2 Confirm whether the civilian allowance rate is correct

At July's rate the \$5,260 annual line is exhausted by September. Either the rate is wrong or the budget is.

### 3 Populate the report narrative

The activities conducted, risks, reprioritisation account and CO's comment fields are all blank, and there is no commentary against any variance. A month 1 report with a 76 per cent overspend and no explanation invites the wrong questions.

### 4 Re-forecast after the first courses complete

August and September carry seven activities. Actual course costs against the per-course budget will be the first real test of the variable-cost assumptions, and the point at which a genuine re-forecast becomes possible.